DOCUMENT D02 · ABC BANK

Terms of Reference — Risk Management and Compliance Committee (RMCC)

Version 7.0, September 2023 (extract)

1 General

The RMCC of ABC Bank Limited was established by resolution of the Board of Directors. The scope of these Terms covers ABC Bank, its branches and representative offices. The RMCC has the authority of the Board to conduct any enquiry and review, and undertake actions it considers appropriate, on matters related to risk management and regulatory compliance, having due regard to applicable laws, regulations and guidelines issued by the relevant regulators. The risk management and compliance function has a direct reporting line to the RMCC.

2 Membership

Members are appointed by the Board; at least two shall be independent non-executive directors. The Chief Executive Officer (CEO) shall be a member. Members should possess adequate knowledge and experience in risk management and/or compliance.

3 Meetings

Meetings will be held quarterly but may be held more frequently as required. The CRO and other senior executives as the CEO deems appropriate shall attend. Management is obliged to supply the RMCC with adequate, complete and reliable information in a timely manner.

5 Duties (selected)

- (a) review and advise the Board on the establishment and oversight of an effective enterprise risk management (ERM) framework;
- (b) review and advise the Board on the risk strategy and risk appetite, including review of the risk appetite statement at least annually;
- (c) oversee the monitoring of risk appetite and risk limits by management and the remedial actions taken for any breaches;
- (d) review and approve major risk management policies and risk limits for material risks, in areas such as credit, market, liquidity, asset liability management, conduct, cyber risk, internal controls and data quality;
- (h) regularly report to the Board on matters of risk management and escalate issues of importance when necessary;
- (i) review and approve major compliance policies and guidelines, including code of conduct, AML/CTF/sanctions, data protection and cybersecurity, as well as the annual compliance plan;
- (k) review any significant risk, legal or compliance issues (including data protection and cybersecurity) raised by management and regulators, and oversee the steps taken by management;
- (m) oversee the resourcing for the risk management and compliance function.

6 Reporting procedures

Full minutes shall be kept. The RMCC shall report back to the Board and keep the Board fully informed of its decisions and recommendations on key or significant matters relating to risk management and compliance.

7 Approval by the Board

These Terms shall be reviewed on an annual basis and as needed. Amendments shall be recommended by the RMCC and approved by the Board.

Version	Issue date	Updated by	Approved by
1.0–2.0	2013	CEO / CRO	Board
3.0–6.0	2016–2019	CRO	RMCC / Board
7.0	September 2023	Deputy CRO	RMCC / Board

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